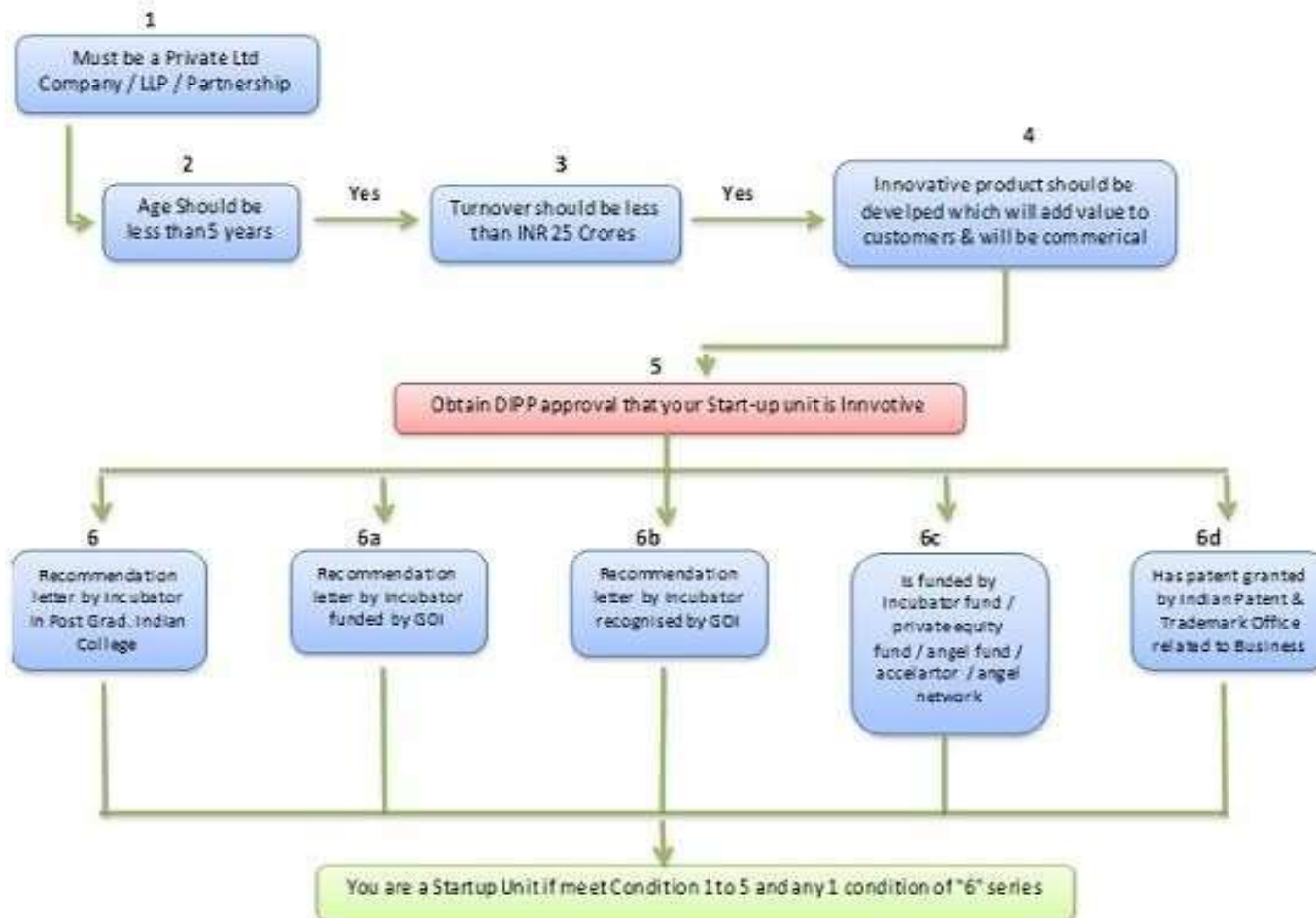


Unit 3

WHAT IS A STARTUP?

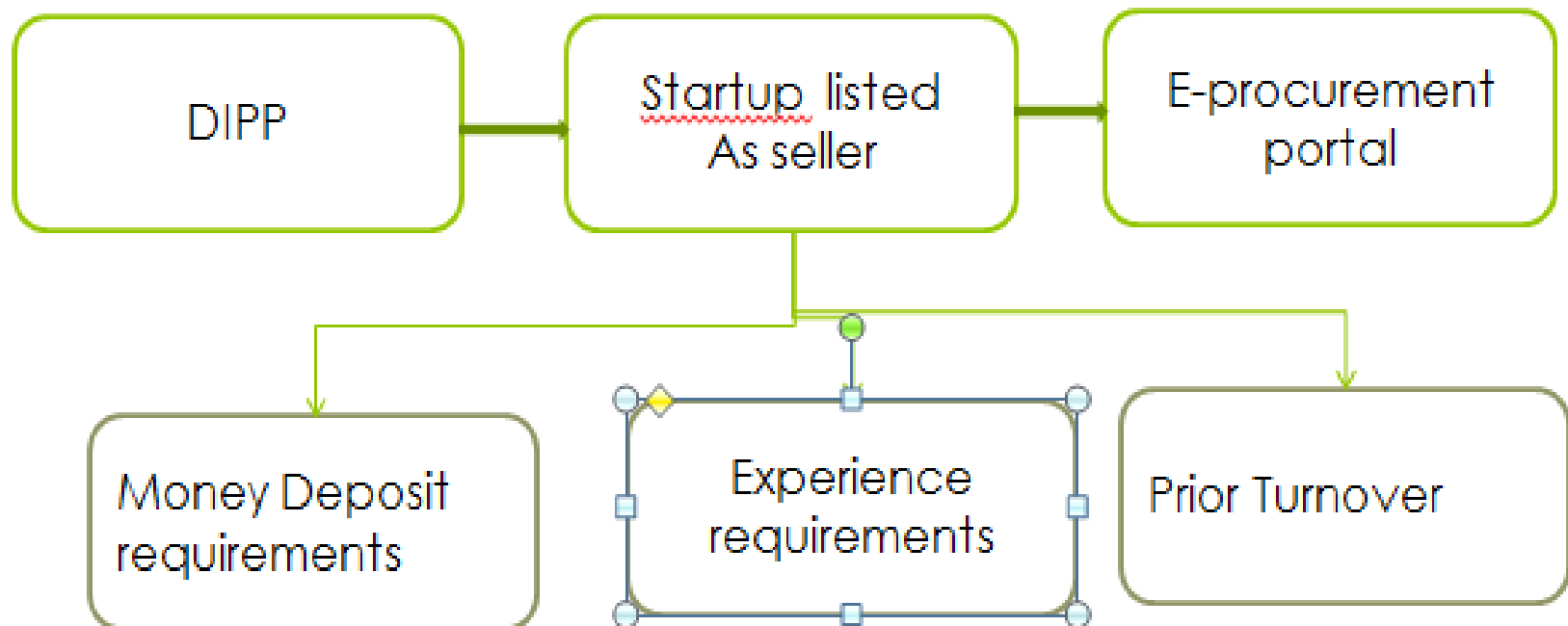


Startup India Benefits

1. IPR Benefits

- **Fast-tracking of Startup patent applications.**
- **Panel of facilitators to assist in filing of IP applications.**
- **Government to bear facilitation cost.**
- **Rebate on filing of application.**

- Relaxation in Public Procurement Norms



Self-Certification under Labour and Environment Laws

- To reduce the regulatory burden
- self-certify their compliance under 6 Labour and 3 Environment laws 6 Labour and 3 Environment laws

Fund of Funds for Startups

- equity funding support of 10,000 crores managed by SIDBI.
- The Fund is in the nature of Fund of Funds, which means that the Government participates in the capital of SEBI registered Venture Funds, who further invest in Startups.

Faster Exit for Startups

- MCA has notified Startups as 'fast track firms' enabling them to wind up operations within 90 days

Tax Exemption

- **IMB Certified**

1. The Inter-Ministerial Board validates tax related benefits constituted by representatives from DIPP,
2. Startups incorporated on or after 1st April 2016 can apply for tax benefits

Tax Exemption for 3 years

Income-tax for a period of 3 years

Tax Exemption on Investment above Fair Market Value

receives any consideration for issue of shares that exceeds the face value of such

RESOURCES FOR STARTUPS

- **Learning and Development Program**

- .



- **Government Schemes**

STP scheme

Startup loan scheme

- **State Government Policies**

Startup India presents to you a list of 17 state government policies who offer benefits to Startups.

Pro-Bono Services

collaborated with leading corporates, the likes of Amazon Web Services, Zoho, Vakil

Knowledge Bank

Startup India provides a knowledge bank detailing the requirements for starting a business in India

- **Market Research Reports**

Tracxn, Inc42 and NASSCOM.

- **Networking And Discussion**

. Startup ecosystem

NASSCOM-10000 Start-Ups



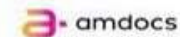
FAME MODEL

- FUND
- ACCELERATION
- MENTORING
- ENTERPRISES CONNECTS

Program and Events

- **Warehouse program**
- **Virtual program**
- **NASSCOM Industry Partnership Program**
- **Rockstar program**
- **Nasscom Gaming Forum**
 - **NASSCOM Game Developer Conference (NGDC)**
 - **NGF Awards:-**
 1. Student game of the year
 2. Indie game of the year
 3. Studio Game of the Year
 4. Upcoming Game of the year
- **BYOG**
- **Incubation services**
- **Game Jam Titans**
- **InnoTrek**

NASSCOM Industry Partnership Program



BANK LOANS FOR START-UPS IN INDIA

- **Working Capital Loan**
- **Corporate Term Loan**
- **Term Loan**

The Credit Guarantee Fund Scheme (CGS) for Micro and Small Enterprises

- collaboration with SIDBI
- can borrow term loan or working capital loan
- Collection of loan is with GOI and SIDBI

The MUDRA Loan Scheme

MUDRA stands for Micro Units Development and Refinance Agency Ltd.

1. Shishu
2. Kishore
3. Tarun

Stand Up India Scheme

- The Stand Up India scheme is a special scheme started by the government of India to financially empower SC/ST and women entrepreneurs.
- You can borrow between Rs. 10 lakh and Rs. 1 CR to start a manufacturing, trading or service unit, which is to be repaid in 7 years.

SIDBI Revolving Fund for Technology Innovation

- financial assistance to MSMEs
- Interest rate would be as approved by the Project Approval Committee (PAC) (not be more than 5% p.a.).

Technology Development Programme (TDP)

- Science and Engineering Research Board (SERB)
- AI, AR/VR (augmented + virtual reality), automotive, telecommunication & networking, computer vision, construction, design, non-renewable energy
- Government support

Laws for Startup

- Basics of accounting and tax related laws
- Choosing the type of venture
- Service Agreement and Documentation
- IT and Cyber Laws
- Intellectual Property Rules (IP)
- Industry-specific laws
- Residency
- Labour Laws
- Contract laws and dispute resolution

SEZ

- A **special economic zone (SEZ)** is an area in which business and trade laws are different from the rest of the country.
- A special economic zone (SEZ) is a geographical region that is designed to export goods and provide employment.
- aims include:
 - increased trade
 - increased investment
 - job creation and effective administration.

To encourage businesses to set up in the zone
financial policies are introduced.

These policies typically regard:

- Investing
- Taxation
- trading
- customs
- labour regulations.

- SEZs are protected as duty-free areas for the purpose of trade, operations, duty, and tariffs.
- SEZ units are self-contained and integrated having their own infrastructure and support services
- SEZs are exempt from federal laws regarding taxes, quotas, labour laws and other restrictive laws in order to make the goods manufactured in the SEZ at a globally competitive price.

SEZS SET UP BY THE CENTRAL GOVERNMENT

- SEEPZ special economic zone
Mumbai, Maharashtra
electronics and Gems and jewellery
- Noida special economic zone
Uttar Pradesh multi product
- MEPZ special economic zone
Chennai, Tamil Nadu multi product
- Cochin special economic zone
cochin, Kerala multi product
- Falta special economic zone
falta, West Bengal multi product



Export promotion schemes

- Software Technology Parks (STPs)
- Special Economic Zones (SEZ) Scheme

BENEFITS UNDER STP SCHEMES:-

- Customs Duty Exemption in full on imports.
- Central Excise Duty Exemption in full on indigenous procurement.
- All relevant equipment / goods including second hand equipment can be imported (except prohibited items).
- Equipment can also be imported on loan basis/lease.
- 100% FDI is permitted through automatic route.
- Sales in the DTA up to 50% of the FOB value of exports permissible.
- Use of computer imported for training permissible subject to certain conditions.
- Depreciation on computers at accelerated rates up to 100% over 5 years is permissible.

BENEFITS UNDER SEZ SCHEMES:-

- Duty free import/domestic procurement of goods for development, operation and maintenance of SEZ units
- 100% Income Tax exemption on export income for SEZ units under Section 10AA of the Income Tax Act for first 5 years, 50% for next 5 years thereafter and 50% of the ploughed back export profit for next 5 years.
- Exemption from Central Sales Tax, Exemption from Service Tax and Exemption from State sales tax. These have now subsumed into GST and supplies to SEZs are zero rated under IGST Act, 2017.
- Other levies as imposed by the respective State Governments
- Single window clearance for Central and State level approvals.
- This scheme has a significant impact on future exports & employment. About 230 IT-ITeS specific SEZs have been notified by the DOC.